Douglas Budget

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The Boom Ahead

Ranchers bracing for massive impacts if BLM opts for full development



Mike Moore photos

Jose Chavira of Wood Wireline Service of Gillette finishes testing at an EOG Resources site along Jenne Trail Road.

(Editor's Note: This is the first of a five-part series examining the conclusions in the Bureau of Land Management's draft environmental impact statement regarding the proposed development of 5,000 oil and gas wells in Converse County during the next 10 years. The BLM hopes to have a final EIS released sometime in September with a Record of Decision (ROD) issued by the end of the year. The draft EIS lists the preferred alternative as full development, which is alternative B.)

By Colin Tiernan
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Rancher Frankie Addington pulls her tape measure from the bed of her truck parked in a pasture 60 miles or so north of Douglas. She walks the barren, recently churned soil looking for a good place to measure the width of the disturbance. Beneath her feet, she knows, is a valuable asset: a pipeline carrying oil or gas from nearby wells – but the other asset, often forgotten in the mad rush to extract massive amounts of fossil fuels, is the soil itself. Or more accurately, the grasses and other vegetation the soil supports, which in turn support her cattle and sheep.

PART 1 OF 5 – ENERGY IN CONVERSE COUNTY

The disturbance is supposed to be no more than 30 feet wide, per the contract between the ranch and developer, but often the contractors push that limit, she knows. She stops to pick up a cigarette butt tossed on the ground, then spies a candy wrapper. She sighs, mostly because this scene is repeated again and again on her ranch and elsewhere in the county.

"We're ground zero with all this mess," she says later.

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"We're also not going to give away our (livelihood) — not only our business, but our home. This is where we live."

Rancher Frankie Addington, Moore Ranch

Write-in Hertz joins race for city council

By Colin Tiernan
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Two Douglas residents received sufficient write-in votes to run for city council this November, but only one – Karl Hertz – has agreed to join the race.

Hertz received 32 write-in votes, while Doug Olson, who actively ran for mayor before being eliminated in the primary election last week, received four votes, one more than needed to earn a spot on the general election ballot.



DOUG OLSON

Olson says he will not accept the nomination and will not run for city council. Rene Kemper won the most votes for mayor, beating out Phil Romero and Olson. Romero and Kemper will now go head-to-head in the general election.

In the weeks leading up to the primary, Hertz had said he was not actively pushing a write-in campaign for council and that was not behind the effort. Since the primary election, Hertz, who is the assistant administrator at Memorial Hospital of Converse County, had a change of heart.

"I was flattered that so many people thought to write my name in," Hertz said. "After discussing it with my family and work, I decided I would accept and try to run for city council."

Hertz will be the third candidate on the general election race in November, joining incumbent John Bartling and Kim Pexton. Two of the three will be elected to a seat.

If Kemper, a current city councilman, wins the mayor's job, her seat will become vacant, and the council will appoint someone to fill the remainder of her term.



Courtesy photo

Karl Hertz will join the race for city council following write-in effort.

A mammoth mystery



Mike Moore photo

University of Wyoming anthropology Professor Todd Surovell walks along a draw in Converse County that he believes could be the location of a mammoth that was partially dug up by previous land owners in the 1930s.

Surovell seeks help in tracking down mammoth site

By Mike Moore
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Dry grasses crackle beneath the square-toed boots of University of Wyoming anthropology Professor Todd Surovell as he weaves throughout a maze of sagebrush in a remote corner of Converse County. His eyes scan the ground, an action to which he has become accustomed in his line of work.

After every few steps, he pauses to examine objects off of the dirt surface. He reveals a small piece of flake, indicative of a surface archeological site, but this isn't the reason for driving two hours from his home in Laramie on a Saturday morning just days before the fall semester.

He's looking for clues - anything

Please see **MAMMOTH SEARCH,** page A-7

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This week's weather

	Wed.	Thur.	Fri.	Sat.	Sun.
High	86	89	82	81	87
Low	51	53	49	50	53



Hunting & Fishing 2018 GUIDE

INSIDE TODAY'S PAPER!

Oil and Gas EIS

from the front page

She and her husband Bill Moore and daughter Stirling Moore run the W.I. Moore Ranch, better known as the Hell & Back, which straddles the Converse-Campbell county line.

Oil and gas companies are flocking to their sanctuary in northern Converse County already, but the U.S. Bureau of Land Management is preparing the final environmental impact statement that could open up the lands between Douglas and Wright to another 5,000 wells over 10 years.

Addington, who grew up in an energy development family in Texas, has seen both sides of the development debate. The Moores are not, she states firmly, anti-oil and gas. They understand the need and the financial pressure in the community to allow development. They also see, firsthand, the financial benefit of working with, rather than against, energy companies.

Yet they are worried about the impact of what could be a total of 17,000 wells – the 10,000 already permitted plus another 7,000 in the pipeline, so to speak, Addington said. The 5,000 proposed wells which spurred the EIS are included in her 7,000 number. Validating those numbers is a little tricky because the information about what is permitted, what may actually be drilled, what is planned and what is hoped for is sketchy at times and changing monthly or faster.

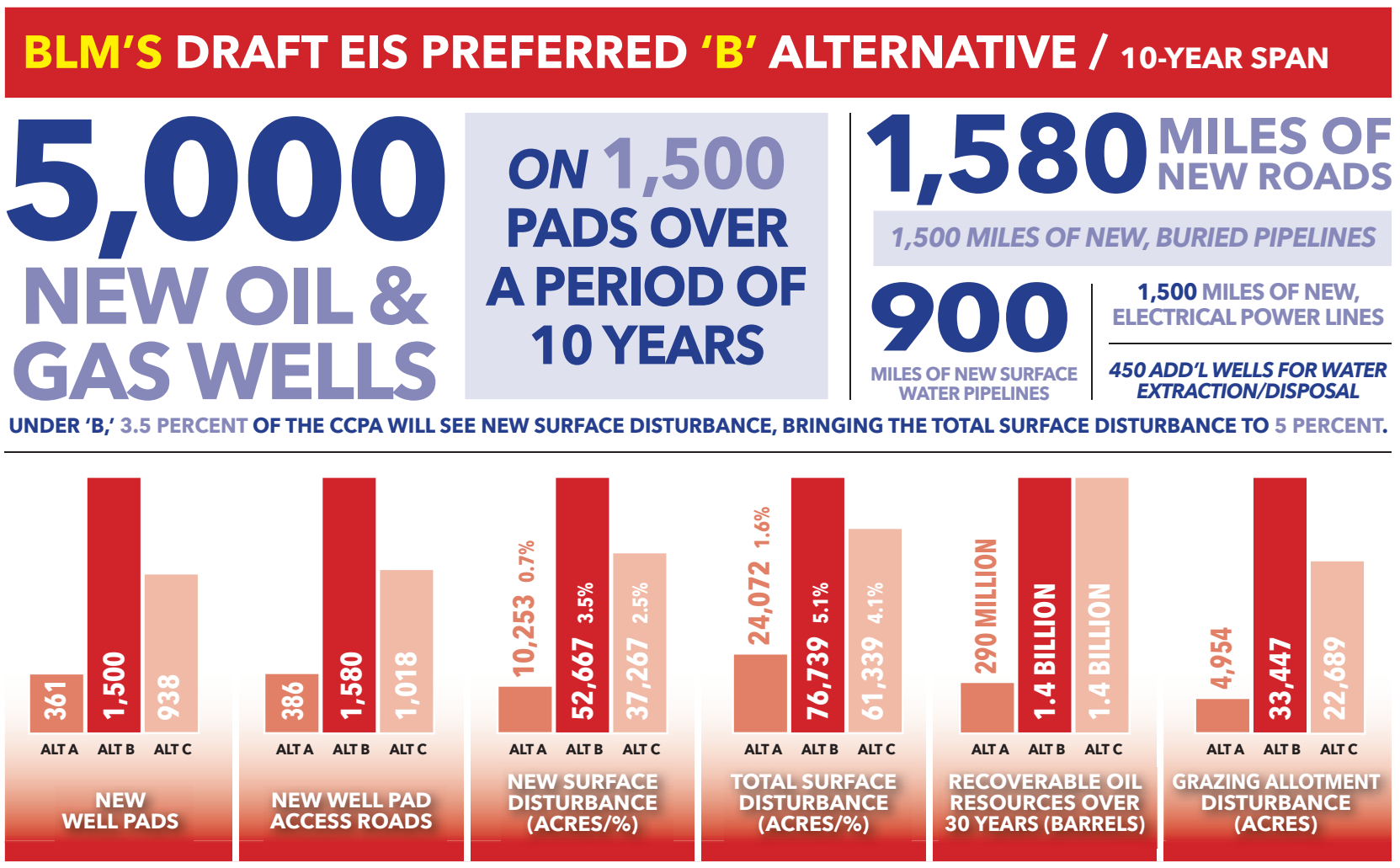
"We're also not going to give away our (livelihood) — not only our business, but our home," Addington said. "This is where we live."

Addington and Moore are on the front lines in the EIS battle, urging a balanced approach to energy development, ranching and community needs. They are also on the front lines of daily frustrations from energy workers and pipeline contractors who leave cigarette butts and candy wrappers. While frustrating, Addington says, the real impacts are far more serious.

"... In good conscience, you can't see that happen to your water, your ranch, without putting up a fight," she said.

Balancing both sides of the development equation won't be easy. And the Moore family is only one of many in Converse County reaping the financial benefits as well as suffering from the downside.

That contrast may only get worse in the coming decade – depending, of course, on which option the BLM picks in the final EIS and ultimately the Record of Decision.



HOW IT ALL FITS TOGETHER

The benefits of oil and gas development are easy to see in Converse County. More workers means more customers for local businesses, more people stopping by local restaurants. During the booms, hotels run out of rooms, property values rise and state, county and city tax revenues climb by hundreds of millions of dollars.

Often focused on the economic boom, Converse County residents talk less often about the environmental costs that come along with the development of as many as 5,000 new wells. Hotel managers happily put out no vacancy signs may not see the tendrils of access roads snaking across the grasslands, the dots of compressor stations and well pads that pepper the landscape. Restaurant owners serving more hungry workers may not follow the recharge rates and depletions of Powder River Basin aquifers or see the effects of dust and air pollution on livestock.

While acknowledging the economic benefits, some ranchers in the midst of the boom have concerns that the proposed development outlined in the BLM's Converse County EIS might be coming too fast, rely too heavily on outdated data and include flawed modeling. There are fears that damage to pastureland, loss of groundwater and increases in dust could negatively affect ranching life not only in the three-decade lifespan of the project, but for future generations.

INDUSTRY'S PROPOSAL

An "Operator Group" presented the prospect of 5,000 wells drilled over 10 years to the BLM back in 2014. Anadarko, Chesapeake, Devon, EOG and SM currently make up the group, although ownership has changed hands since the OG proposed the project. For instance, Northwoods Energy currently owns SM's Powder River Basin assets, acquiring them for half a billion dollars last fall.

The drilling will take place in Converse County, in an area referred to in the EIS as the Converse County Project Area. The CCPA mostly mirrors the county's boundaries, but it doesn't drop much below the North Platte River on the county's south side. Southern Converse County, in general, lacks the lucrative oil reserves found in the central and northern areas. Existing oil and gas development is primarily concentrated in two spots: to the east and west of Wyoming Highway 59, with the western portion extending down at an angle to the Niobrara border. Operators also tend to drill in the northwest of the county, near the Campbell County border. There are additional developed areas in a handful of patches around the county, but they tend to be smaller.

The CCPA covers 1.5 million acres of land. The ownership of that land makes the EIS unusually complex. Private landowners own 83 percent of the CCPA's surface. The state owns 7 percent; the BLM manages 6 percent; and the U.S. Forest Service controls 4 percent, much of which is in the Thunder Basin National Grassland.

The surface rights are straightforward enough. But once you get below the ground, ownership becomes a tangled web. While 83 percent of the surface is in the hands of private landowners, the BLM owns just less than two-thirds of the minerals in the CCPA.

Horizontal drilling makes the ownership yet more complex. More than half of the minerals under the CCPA are found in split estates, meaning the surface owner doesn't own the mineral rights beneath his feet. Converse County landowners also have difficulties with what is known as fee-fee-fed, wherein a private landowner has the surface rights (Fee No. 1) and the mineral rights (Fee No. 2), but operators could drill from the private land horizontally into federal minerals beyond the landowners boundary (fed).

"There's an argument that the BLM gets to control how that private surface is used," Converse County Commissioner and the county's EIS lead Jim Willox said. "That has been a big push back not only of the landowners but of the commissioners. We don't believe that the BLM should be dictating how private surface is used when the only impact to federal ownership is minerals a mile down and a mile away."

THE DRAFT EIS

The draft EIS, prepared for the BLM by a contracted company, AECOM, presents three alternatives for development: A, B and C.

Alternative A

BLM's selection of A would represent a rejection of the operator group's proposal. Existing development would continue and valid leases and drilling rights would be honored, but there would be no additional development. People familiar with past federal EISs have indicated it is unlikely the BLM would select alternative A.

Alternative A would allow 1,633 oil and gas wells on 361 pads drilled over a decade. Based on the quantity of existing wells, alternative A would, on its own, double the number of oil and gas wells in Converse County now. It's unclear how much of the development under alternative A has already taken place. As of June 2018, there were 1,241 producing oil wells in Converse County. Alternative A is expected to disturb 10,253 additional acres.

Alternative B

The BLM selected alternative B, the operator group's proposal, as its preferred alternative. In many sections, B is unaltered from industry's request for development. Under B, the CCPA will see up to 5,000 new oil and gas wells on 1,500 pads over a period of 10 years. Other development under B includes 2,000 miles of new roads, 1,500 miles of new buried pipelines, 900 miles of new surface water pipelines, 1,500 miles of new electrical power lines and more than 450 additional wells, primarily for water extraction and disposal. Perhaps the most controversial portion of alternative B is centered around exemptions to year-round drilling stipulations, meaning that drilling would continue during raptor and greater sage grouse breeding seasons, which is not currently allowed. Under B, 3.5 percent of the CCPA will see new surface disturbance, bringing the total surface disturbance to 5 percent.

Alternative C

Alternative C would mean the same amount of drilling, but on 38 percent fewer pads. The pad sizes for this alternative would be larger than those in the past. Increasing the average number of wells on each pad decreases the surface disturbance, not only by ensuring fewer pads cover acreage, but by lowering the number of roads required. C also would require industry compliance with current raptor and greater sage grouse timing stipulations, which would remove the possibility of year-round development. For some ranchers, C would be preferable because it would reduce the amount of water needed for drilling. Under C, operators would have to recycle 40 percent of produced water. The EIS claims there would also be less need for dust abatement on roads.

Concerns

Ranchers have concerns about the loss of pasture that would occur from the development, as well as the amount of water required, according to letters sent to the BLM during the public comment period.

"The density of these proposed wells, that's obscene," Stirling Moore said.

Moore and Addington are quick to point out that they aren't against development. They just think that this project will be too much too quickly.

"I'm not against oil and gas development, I think it's something we do need in this country, we do need in this state, but it needs to be a little more regulated. Otherwise it can't sustain itself," Moore said. "I'm glad we're not dependent on a foreign nation for our supply. But the whole thing is, there needs to be balance. It doesn't need to be so fast."

Converse County's elected leaders have some concerns, but disagree that the development will be too much too fast.

"I don't believe the pace we're at today is too much too fast," Willox said. "Do we have the potential to get there? Yes. But I don't think it is probable. It's possible but not probable."

The county's ability to affect the pace of development is limited, Willox explained. The commissioners try to maintain a positive relationship with operators and governmental agencies, but after that they have little say from a regulatory standpoint. He agreed that a slower, more sustainable pace would be ideal.

"I'd rather have 5,000 wells over 25 years," Willox said. "All of us would rather have longer sustainable development because it's better for everyone."

Willox and other county officials have asserted that the BLM will likely not permit 500 wells annually for a decade. By Willox's estimate, the BLM has never issued even 400 in a given year.

The city has some power as it relates to zoning and housing, but beyond that, regulatory measures are weak or nonexistent. Larger governmental agencies – mostly federal, then state – have the determining power. On top of that, Willox pointed out, the county is "at the mercy of international events."

If the price of oil skyrockets, Converse County might have difficulty handling the influx of workers and traffic.

"I do believe that it will be extremely difficult for us to do a good job if we get to $90 oil again," he said.

EARTH, WIND AND WATER

As of June 2018, there were 2,172 producing oil and gas wells in Converse County, according to the Wyoming Oil and Gas Conservation Commission. If the BLM chooses alternative A, B or C, the amount of drilling in the county would more than double.

Addington and Stirling Moore feared that their ranch would bear the brunt of a sizable chunk of that development. Addington referred to her ranch as "ground zero" for the new development.

Moore said she believes the amount of development on their land will negatively affect their herds.

"If the development goes through as planned, we'll have to reduce our herd size drastically," Moore said. "For us, one company, they were surveying and staking out 26 acre pads. They did 22 of them on us last fall. If they were to go through with that, we lose three pastures, essentially."

In addition to the loss of grazing acreage, Moore has concerns that depletion to the Wasatch/Fort Union aquifer system will hinder their ability to provide water for their sheep and cattle.

"The water is my biggest concern, just because it's an obscene amount of water," she said. "They're all pulling from essentially one aquifer."

The OG estimates that each well will use 13.1 acre-feet of water per year, and that the project will require 7,000 acre-feet annually. An acre foot is the amount required to cover an acre of land a foot deep, about half the water required to fill an Olympic-sized swimming pool or 10,344 barrels of water.

"The water situation will be devastating," Addington said, if the full 500 wells are rolled out each year and use 250,000 barrels of water each on average, though she didn't cite a source for that figure.



Fracking operations dot the landscape of northern Converse County along Jenne Trail Road, turning the open prairie into a bustling network of energy development.

The BLM analysis in the EIS contends the wells would use far less, around 135,000 barrels per year.

"In fact, each horizontal oil and gas well drilled within Converse County within the last six months has utilized between 250,000 and 300,000 barrels of water on average," Moore wrote in her comments to the BLM, again not citing her source.

The county shares ranchers' concerns about water usage. In their comment on the draft EIS to the BLM and in Willox's comments to the Budget, he argued that the water estimates appear outdated and improperly calculated.

"I do believe that the EIS didn't do as good a job as it could have on the water," Willox said.

Addington believes the water issue is among the biggest problems with the EIS.

"They will lay waste to the land. What I saw in the Permian Basin (in Texas, where she grew up) ... one dust storm after another. No livestock any more. No rabbits. No rabbits?" she recounted, shaking her head as she murmured about rabbits being everywhere and able to withstand major environmental changes.

DELVING INTO THE IMPACTS

In the coming weeks, the Budget will publish the rest of this five-part series of in-depth stories on how the EIS will impact water availability, air quality, socioeconomic and the greater sage grouse.

Not all of this is bad news. The economic benefits of the proposal are spread throughout the series, though we did not focus on part solely on them because they are fairly obvious to residents who have lived through numerous boom-and-bust cycles with energy development.



Terrain changes from open grasslands to heavy industry as fracking operations bring in miniature towns for energy development in northern Converse County.